

BUSINESS HIGH-Level Assessment Exam #2 (2026-SM1)

PRACTICE TEST A

Covering: Unit 1, LPs 1-5, 1-6, 1-7, 1-8, 1-9 and 1-10

STUDENT NAME: _____ PERIOD: _____

WRITE HONOR CODE/ STUDENT SIGNATURE BELOW:

STUDENT SIGNATURE: _____

1) Information Management is defined as: (True/False)

A business function that involves people, processes, and systems that collect, organize, store and secure relevant data and information, and makes it accessible and useful for making informed decisions.

TRUE FALSE

MATCH the FOLLOWING Information Management terms:

- Trade Secret
- Intellectual Property
- Intangible Asset

2) _____: Anything of value that is not physical in nature

3) _____: Anything created from the mind or intellect, like inventions, ideas, or methods

4) _____: A practice or process not known outside the company that owns it, with economic value (the Coca-Cola formula)

5) Tell me 2 of the THREE areas Operations manages:

_____ and _____

6) Choose one of the 2 above and explain what it is:

Area of Operations: _____

What it is: _____

7) Operations is where the _____ of strategy happens.

8) TRUE / FALSE _____ Raw data is information or data before it becomes useful information.

9) TRUE / FALSE _____ Gross margin percent is defined as:

Gross profit divided by the cost of goods sold (COGS).

***Using the GROSS PROFIT EQUATION, fill in the FOLLOWING:**

A sneaker sells for \$40. It costs \$10 to make (COGS).

10) _____: Gross profit (sales revenue - COGS)

11) _____: Gross margin percent (gross profit / sales revenue)

*** Match the following:**

Pure Competition
Monopolistic Competition
Oligopoly
Monopoly

12) _____: A few companies control the supply and pricing, with high barriers to entry (AT&T, T-Mobile, Verizon).

13) _____: The same product at about the same price, with low barriers: it's easy for a new seller to start (corn, wheat).

14) _____: The same kind of product at different prices, which gives consumers options (department-store makeup vs drugstore makeup).

15) _____: One company corners the market, with no competition.

16) TRUE / FALSE _____ The industry standard gross profit margin for technology companies is 25-35%.

17) TRUE / FALSE _____ According to the FTC, a company that corners the market is legal as long as it makes a profit.

18) Which business function deals with the BELOW? _____

***Match the following:**

- Manufacturing
- Purchasing
- Logistics
- Quality Control
- Supply Chain

19) Measuring and testing products against quality benchmarks, on every product, every day, so each one is consistent.

Correct answer: _____

20) Coordinating the flow of inputs and outputs: materials to the loading dock and the line, products out to customers.

Correct answer: _____

21) Buying the raw materials a business needs to make its product.

Correct answer: _____

22) Making products from raw materials using labor, machinery, and tools.

Correct answer: _____

23) A company's network of people, suppliers, activities, and resources that create and move a product from the suppliers to the end consumer.

Correct answer: _____

24) In a sole proprietorship, the owner has limited liability and can only lose what they invested.

TRUE FALSE

25) The legal responsibility of an individual or entity for actions, debt, and obligations is known as which of the following?

- A) Capital
- B) Liability
- C) Dividend
- D) Equity

26) Target sells in physical stores and also lets customers order online for pickup or delivery. Which business model is this, and why did Target choose it?

- A) Bricks-and-mortar, to lower its costs
- B) Nickel-and-dime, to sell cheap products
- C) Bricks-and-clicks, to reach more customers and increase sales
- D) Peer-to-peer, to remove the middleman

*** MATCH THE FOLLOWING:**

- Sole Proprietorship
- LLP
- C Corporation
- S Corporation
- B Corporation

27) _____: One owner who pays all the taxes, makes all the decisions, and has unlimited liability.

28) _____: The company pays tax on its profits, then shareholders pay tax again on their dividend checks (double taxation).

29) _____: Taxes pass through to the shareholders' personal tax returns; limited to 100 shareholders.

30) _____: Puts benefit to society over profit, like Patagonia or Ben & Jerry's.

31) _____: Partners are not responsible for each other's actions; common for law, medical, and accounting practices.

32) TRUE / FALSE _____ Burger King and Pizza Hut are direct competitors.

33) TRUE / FALSE _____ Business ownership types differ in three areas: taxes, liability, and decision making.

34) What is a competitive analysis? Tell me what it identifies and why it only works on a specific product. (2 points)

35) Name 3 of the SIX effects of competition. (3 points)

1. _____
2. _____
3. _____

36) Cyber Security. Define/ Explain why it is important: (2 points)

MATCH and EXPLAIN WITH EXAMPLE:

- Internet of Things
- Augmented Reality
- Gig Economy

37)_____ connects devices that identify themselves and communicate with each other (2 points)

Explanation: _____

38)_____ places digital images into a view of the real world (2 points)

Explanation: _____

39)_____ is short-term, contract or side work, often booked through an app (2 points)

Explanation: _____

40) You're the VP of Marketing and Sales. Your new sneaker sells for \$120 and costs \$30 to make (COGS). Find the gross profit and the gross margin percent, then tell me how it compares to the manufacturer industry standard and what the company might do next. (4 points)

Gross profit: _____

Gross margin %: _____

Compared to the standard: _____

What the company might do: _____

ANSWER KEY: PRACTICE TEST A

Questions 1-33 are 1 point each. 34-40 are worth 17 points. Total: 50 points.

- 1) **TRUE.** Word for word the definition. Exam #1 asked its definition questions this same way.
- 2) **Intangible Asset.** Intangible means not physical. A trade secret is one kind of intangible asset, but this is the general term.
- 3) **Intellectual Property.** Intellectual property is ideas, inventions and methods.
- 4) **Trade Secret.** "Not known outside the company" is the trade secret wording.
- 5) **Any 2 of: manufacturing, purchasing, logistics.** Operations manages inputs and outputs through manufacturing, purchasing and logistics. Taxes, liability, decision making is how ownership types differ.
- 6) **Manufacturing: making the product from raw materials (the assembly line). Purchasing: buying the raw materials. Logistics: coordinating the flow of materials in and products out to customers (FedEx, Amazon).**
- 7) **execution.** Starred on the review board: operations is where the execution of strategy happens, day to day.
- 8) **TRUE.** Raw: "100 people attended a movie premiere." Relevant data is organized to help make a decision.
- 9) **FALSE.** Divide gross profit by sales revenue: $\$12 / \$20 = 60\%$. Dividing by COGS is the trap.
- 10) **\$30.** $\$40 - \$10 = \$30$. Adding them (\$50) is the trap.
- 11) **75%.** $\$30 / \$40 = 0.75 = 75\%$. 300% comes from dividing by COGS instead of sales revenue.
- 12) **Oligopoly.** A few companies plus high barriers is an oligopoly. One company would be a monopoly.
- 13) **Pure Competition.** Pure competition (starred on the board): same product, same price, low barriers.
- 14) **Monopolistic Competition.** Same kind of product, different prices: monopolistic competition.
- 15) **Monopoly.** Cornering the market with no competition is a monopoly.
- 16) **FALSE.** 25-35% is manufacturers; tech companies run about 70%. A swapped number is the classic true/false trap.
- 17) **FALSE.** A monopoly is illegal (the FTC protects consumers), except a regulated monopoly like Nevada Power.
- 18) **Operations.** All five are Operations activities.
- 19) **Quality Control.** Quality control checks every product, not a sample.
- 20) **Logistics.** Coordinating the flow is logistics.
- 21) **Purchasing.** Buying the inputs is purchasing.
- 22) **Manufacturing.** Turning raw materials into products is manufacturing.
- 23) **Supply Chain.** The whole network from supplier to consumer is the supply chain.
- 24) **FALSE.** A sole proprietor has unlimited liability: they can come after personal assets.
- 25) **B) Liability.** Liability: actions (a lawsuit), debt (loans), obligations (a promised donation).
- 26) **C) Bricks-and-clicks, to reach more customers and increase sales.** Stores plus online ordering is bricks-and-clicks. It reaches online shoppers (no car, in a wheelchair) as well as in-store shoppers, so sales go up.
- 27) **Sole Proprietorship.** One owner, all the taxes, all the decisions: sole proprietorship.
- 28) **C Corporation.** Double taxation is the C corporation.
- 29) **S Corporation.** S for shareholders, 100.
- 30) **B Corporation.** B for benefit.
- 31) **LLP.** LLP: P for partners. An LLC is C for company.
- 32) **FALSE.** Different products that satisfy the same need (hunger) are indirect competitors. Coke vs Pepsi is direct.
- 33) **TRUE.** Starred on the board.

34) (2 points) A competitive analysis compares one specific product, like Tesla, against its competitors (BMW, Mercedes, Toyota, Honda) on things like price and quality. It identifies the strengths and weaknesses of the competitors and of your own company, such as a price that is too high. It only works on a specific product because a category like "cars" or "burgers" has no single place on the grid.

- 1 point: it compares a specific product against its competitors and identifies the strengths and weaknesses of the competitors AND of your own company.
- 1 point: it needs a specific product (Tesla, not "cars") because a broad category can't be placed on the grid against real competitors.

35) (3 points) Pricing control, choice/variety, innovation, quality, the economy (jobs), the consumer (society benefits). The last two were starred on the board.

- 1 point each, any 3 of: pricing control, choice/variety, innovation, quality, the economy (jobs), the consumer (society benefits).

36) (2 points) Cyber security protects a company's networks, devices and data from unauthorized access. It matters because a breach can hand trade secrets to competitors and expose employees' and customers' personal information, which can be used for identity theft or to drain accounts. Example: MGM Resorts in 2023 lost about \$100 million after a ransomware attack.

- 1 point: protecting networks, devices, and data from unauthorized access or criminal use.
- 1 point: hackers could steal trade secrets for competitors and the personal information of employees and customers (birthdates, account numbers, credit cards), leading to identity theft.

37) Internet of Things. Internet of Things: devices on the internet that identify themselves and communicate. Amazon's order tracking pings your phone, smartwatch and Ring doorbell.

- 1 point: Internet of Things.
- 1 point: a real example, like Amazon order tracking that updates your phone, watch, and Ring doorbell.

38) Augmented Reality. Augmented reality: IKEA's app places furniture into a photo of your room so you can see how it looks before you buy.

- 1 point: Augmented Reality.
- 1 point: a real example, like IKEA's app showing a sofa in a photo of your living room.

39) Gig Economy. Gig economy: work you don't do full time, often remote and booked through an online platform, like driving for Uber or tutoring as a side gig.

- 1 point: Gig Economy.
- 1 point: a real example, like Uber, Uber Eats, Lyft, a dog walker, or tutoring as a side gig.

40) (4 points) \$90 gross profit; 75% gross margin; more than double the 25-35% manufacturer standard; use it to market more or launch new products.

- 1 point: gross profit = $\$120 - \$30 = \$90$.
- 1 point: gross margin = $\$90 / \$120 = 75\%$.
- 1 point: the manufacturer standard is 25-35%, so 75% is more than double it.
- 1 point: with that revenue stream it could market more or launch more products (expand the product line).